Odin's Watchlist - Use Cases & Trading Playbook

Every tradeable pattern the tool isolates - what history says about it, the gain to expect, and exactly how to trade it

This is the companion to the main Guide. The Guide explains WHY the tool works; this document is the field manual: a set of concrete USE CASES you can run day to day. Each one is a distinct pattern the dashboard can isolate with a filter, backed by what the backtest actually found, the gain you can reasonably expect, and a step-by-step way to trade it. They're ordered from highest-confidence to most speculative.

HOW TO READ THE NUMBERS (PLEASE READ ONCE)

Two different measures appear throughout. HIT RATE = the share of trades that reached the profit target. BASE RATE = the hit rate of an average watchlist stock (~13% at a +30% target, ~20% at +20%) - the bar to beat. LIFT = how many times better than random the top picks were. EXPECTED GAIN (per-trade expectancy) = the average result across many trades counting winners AND losers together - the number that actually decides if a pattern makes money. All figures are from one ~13-month window on daily closing prices, before brokerage/slippage, and ~15% of top picks are volatile BE/BZ names that flatter the averages. Trust the DIRECTION; treat exact percentages as approximate.

THE EXIT RULES ARE SHARED BY EVERY USE CASE BELOW

The exit study was unambiguous: the profit TARGET is a weak lever (anything 25-40% performs similarly; small targets like +5% actually LOSE money), while the STOP-LOSS and holding period are the real drivers. So every playbook here uses the same exit spine - a WIDE target (~25-40%, sized to the stock), a TIGHT stop (~5-6%, widened only for genuinely jumpy stocks), and a ~2-week time stop on trades that stall. Cutting losers fast is what turns the edge into profit.

The shared exit engine (used by all use cases)

Before the individual patterns, here is the exit framework they all plug into. The tool sizes each stock's stop to its own daily volatility (ATR) and sets the target at ~5x the risk. The exit study measured the expectancy of each combination on the daily top picks:

Exit setup (on +30% target)	How often target hit	Expected gain per trade	Profit factor
+5% target / -8% stop (tempting, DON'T)	49%	-0.99% (loses money)	< 1
+20% target / -8% stop (original)	20%	+0.26%	~1.05
+30% target / -8% stop	13%	+0.80%	1.17
+30% target / -6% stop	13%	+1.34%	1.34
+30% target / -5% stop / exit ~2 weeks (best)	13%	+1.49%	1.52

THE ONE RULE THAT MATTERS MOST

A high hit rate is a trap - the +5% target 'wins' 49% of the time and still loses money, because you're risking 8 to make 5. Judge every pattern by EXPECTED GAIN per trade, not by how often it wins. And always set the stop BEFORE you buy.

How the per-stock levels come out in practice (target/stop scale with the stock's ATR):

Stock's daily swing (ATR)	Stop-loss	Target	Reward : Risk
Calm (<=3.5%)	-5%	+25%	5 : 1
Medium (~5%)	-7.5%	+38%	5 : 1
Jumpy (~8%)	-10%	+40%	4 : 1
Data too fresh to measure	-6%	+30%	5 : 1 (fallback)

The use cases

Each block below is self-contained. The dashboard filter named in 'Isolate it' produces the shortlist; the rest tells you what to expect and how to act.

1. The core shortlist - top ~10 by score

HIGHEST CONFIDENCE - your daily staple

The everyday use case: take the day's ten highest Setup Scores. The score is led by relative strength (how much the stock has beaten the market over 20 days), which the backtest found to be by far the most reliable predictor of a 20%+ move. Its chart-pattern component is now DATA-DRIVEN too - each screener is weighted by its measured hit-rate and the dead screeners are zeroed out. The edge lives in this top slice, not in score decimals - a #3 and a #7 are effectively equal.

Isolate it on the dashboard: Sort by Setup Score, take the top ~10. Keep tiers A and B; ignore C.

Historical finding: On dates the tool was never tuned on (the honest out-of-sample test), the top-10 picks won 2.2-4.6x more often than random - the edge that survived every honesty check. The original filter-only score managed only ~1.1-1.4x out-of-sample, so relative strength is what does the work.

Expected gain: With the shared exit (wide target, ~5-6% stop, 2-week time stop), expectancy is roughly +1.3% to +1.5% per trade at a +30% target, hit rate ~13% (vs ~13% base - the lift comes from the top slice being far above the average stock's odds). Most single picks WON'T hit target; the edge is in playing many with a tight stop.

How to trade it: Buy the ones that also confirm on the chart (real base, breaking out, not extended). Set the printed per-stock stop before entry. Spread across several names - a string of small stop-outs is the normal path to the few big winners.

Best for: Every trading day - this is the base you start from before applying any lens below.

Caveat: About 15% of these are volatile BE/BZ (Trade-to-Trade) names whose backtested numbers flatter the average; scrutinise those extra hard and size them smaller.

2. Persistent leaders (durable trend)

HIGH CONFIDENCE - best single filter

Among the strong names, prefer the ones that have STAYED strong. A 'persistent leader' has led the market (RS >= +15) on 12 or more of the last 20 trading days - a durable trend, not a one-day flare. You read it straight off the 20-day leadership strip on the dashboard.

Isolate it on the dashboard: Click the 'Persistent leaders' cohort filter (or eyeball a near-full 20-day strip).

Historical finding: Persistent leaders hit target ~24% of the time versus ~15% for freshly-emerged leaders - the single biggest reliable upgrade among the lenses, and it measures DURABILITY, which the score alone doesn't.

Expected gain: Raising the hit rate from ~15% to ~24% at a wide target lifts per-trade expectancy meaningfully above the core - the strongest positive-expectancy cohort the tool offers. Directionally the best risk-adjusted use case here.

How to trade it: Same exit engine. Prefer a persistent leader that is ALSO firing a fresh breakout today (see use case 3). If it's resting (Wyckoff BASE), watchlist it rather than chase.

Best for: Your core-quality filter - when you want fewer, higher-conviction names from the top slice.

Caveat: A full strip tells you it's proven, not that today is the entry - still needs a fresh trigger and a chart check.

3. Persistent leader + fresh breakout (SOS)

HIGHEST CONVICTION COMBO

The premium setup: a persistent leader (full strip) that ALSO fires a fresh Wyckoff Sign of Strength - a breakout out of its range on volume - TODAY. Durability plus a live trigger on the same name.

Isolate it on the dashboard: Persistent-leaders filter + Wyckoff SOS preset; look for a full strip and an SOS badge printed today.

Historical finding: This is the ~24% cohort (persistent leaders) intersected with a fresh actionable breakout - the highest-conviction combination the dashboard can show. Both ingredients independently beat the base rate; together they concentrate the edge.

Expected gain: The best expected gain of any single-name setup here - durability keeps the hit rate high while the fresh breakout gives a clean, timeable entry with a tight stop just under the breakout level.

How to trade it: Enter on the fresh breakout. Stop just below the breakout / base high (usually the printed ~5-6% level). Wide target, let it run, 2-week time stop if it stalls. This can carry a slightly larger position within your risk rules.

Best for: When you want your one or two best ideas of the day.

Caveat: If it's already up >15% on the day, you're late - wait for a tight pullback or size down (the 'ext' chase flag).

4. Episodic Pivot (EP) - the catalyst play

MEDIUM-HIGH - different axis

A stock that GAPS up on heavy volume - the fingerprint of a catalyst (earnings, news, an order win). It answers a different question from strength: 'did something happen TODAY', not 'is it already strong'. That independence is what makes it additive.

Isolate it on the dashboard: Click the Episodic Pivot (EP) preset; the EP badge now requires the gap to have HELD (gap >= 4% on >= 3x volume AND close in the top half of the day's range).

Historical finding: Standalone, EP fires at ~2.5x the base rate. Within the top names it lifts the hit rate to ~24% vs ~17%. A later backtest sharpened it: a gap that HELD (closed top-half of range) hit target ~19% vs ~12% for a gap that faded (+7pp), so the badge now fires only on held gaps. Because it's a fresh catalyst rather than a strength proxy, it adds information the score doesn't already contain.

Expected gain: Comparable expected gain to the persistent-leader cohort when it appears within the top names - a genuinely positive-expectancy pattern, with the bonus of being early.

How to trade it: Enter on the gap day if the gap comes off a tight base and HOLDS above the gap level. Stop below the gap/base. Catalyst moves can continue hard or fade fast, so the stop matters more than usual; keep the target wide.

Best for: Days with real news flow; pairing a catalyst with existing strength.

Caveat: A gap on a stock with a 0/20 strip and no base is a speculative one-off - size it like use case 7, not like a leader.

5. Wyckoff SOS breakout (structure entry)

MEDIUM - clean timing

Trade the breakout itself: a Wyckoff Sign of Strength is a stock 'jumping the creek' - breaking out of an accumulation range on expanding volume. It's the classic actionable breakout entry, inferred from which screeners the stock fired.

Isolate it on the dashboard: Wyckoff SOS preset (fresh breakouts). Combine with a full leadership strip for quality.

Historical finding: Wyckoff breakout survived the backtest as a lens that measures STRUCTURE (a different axis from raw strength) - unlike the Minervini trend template and delivery-% accumulation, which were tested and REJECTED for merely re-measuring strength. Strongest when the breakout stock is also a leader (folds into use cases 2-3).

Expected gain: Positive expectancy when combined with strength/leadership; on its own it's a timing tool that gives a clean, tight-stop entry rather than a standalone edge.

How to trade it: Buy the breakout, stop just under the range high / breakout level, wide target, 2-week time stop. Skip breakouts with no leadership history behind them.

Best for: Timing an entry on a name you already like from the score/strip.

Caveat: A breakout with a 0/20 strip is a flare, not a trend - confirm leadership first.

6. Wyckoff LPS pullback (lower-chase entry)

MEDIUM - patient entry

The Last Point of Support: a quiet, low-volume pullback to support AFTER a breakout. It's the safer, lower-chase Wyckoff entry - you buy the retest instead of the breakout candle.

Isolate it on the dashboard: Wyckoff LPS preset; look for a post-breakout stock easing back on light volume.

Historical finding: The same structural family as SOS and validated on the same basis (a different axis from strength). Its value is a better ENTRY PRICE and tighter stop on an already-strong name, reducing the chase risk that hurts breakout buyers.

Expected gain: Improves expectancy mainly by lowering entry cost and tightening the stop on a leader you were going to trade anyway - not a separate edge so much as a cheaper way into use cases 2-3.

How to trade it: Buy the retest as it holds support on shrinking volume; stop just below support. Same wide target and time stop. Ideal when you missed the initial SOS breakout.

Best for: Entering a strong name without paying up for a hot breakout.

Caveat: If the 'pullback' comes on HEAVY volume, it may be a real breakdown - stand aside.

7. Emerging (early move) - catch the wake-up

SPECULATIVE - early, lower-confidence

Catch a stock a step BEFORE it's an obvious leader: a volume THRUST (>= 3x its own normal) while its relative strength is rising but still modest (0 to +25). The moment a quiet stock wakes up - the STALLION-type early move.

Isolate it on the dashboard: Click the 'Emerging' (EMRG) cohort filter.

Historical finding: Tested honestly: buying BEFORE strength shows up (the quiet pullback) is NO better than random - you'd be front-running the only signal that works. But catching the THRUST itself with RS accelerating hits target at ~1.5x the base rate. Real, but roughly HALF the edge of a confirmed leader (~3x).

Expected gain: Positive but modest expectancy - about half the per-trade edge of use cases 1-3. You're paying for earliness with lower reliability.

How to trade it: Treat it as speculative: SMALLER position, only if the chart shows the thrust coming off a tight base and holding. Same tight stop and wide target. Let the confirmed-leader cohorts remain your core.

Best for: A satellite position when you want early exposure and accept lower odds.

Caveat: Never make this your core allocation - it is explicitly a lower-confidence entry, not a better one.

8. RIGHTWAY Telegram confluence

CONFIRMING NUDGE - not yet backtested

Cross-reference the dashboard's picks against your RIGHTWAY Telegram group. When the tool independently flags a strong setup AND your group is already on it, that's a second, unrelated vote - pure confluence, never a signal by itself.

Isolate it on the dashboard: 'In RIGHTWAY' filter (anyone mentioned it) or the tighter 'Admin call' filter (the broadcast channel actually called it, shown by a '^' and a '*' for recent conviction tags). Run telegram_fetch.py then parse_telegram_recs.py at end of day first.

Historical finding: NOT yet backtested - a proper test of whether the admin's calls PRECEDE moves (rather than trail them) is the planned next step. What we DO know: the channel is promotional and often posts winners after they've moved, and ~43 of 60 dashboard names get mentioned on a given day, so a plain mention isn't selective.

Expected gain: No measured expectancy yet - do not assign one. Value is qualitative confluence, best when it's 'strong tool setup + FRESH admin call', not raw mention count.

How to trade it: Use only to break ties or add conviction to a stock the tool ALREADY rates. Never buy something the tool doesn't like just because the group is talking about it. The tool's own volatility-based target/stop are the ones with a backtest - the admin's target is their goal, and most admin calls in the data are 9-24 months old (historical context, not live).

Best for: A final confirming glance after use cases 1-3 have already selected a name.

Caveat: Promotional source. Treat every mention as 'they're discussing it', not 'it's a buy'.

Anti-patterns - use cases we tested and REJECTED

Part of trusting the good use cases is seeing what failed the same test. These were built, backtested, and deliberately dropped - recognising them saves you from bad trades:

Rejected pattern	Why it failed the backtest / what to do instead
High score but 0/20 leadership strip	A one-day flare with no durable trend behind it (e.g. EMAMIPAP: score 92, RS +38, yet never a leader in 20 days). The high score is necessary, not sufficient - the empty strip is the tell. Skip it.
Already up >15% today ('ext' chase flag)	You'd be buying the spike late; the risk:reward from here is poor. Wait for a tight pullback or pass.
Small profit targets (+5% to +10%)	They 'win' often but LOSE money - risking an 8% stop to make 5% is negative expectancy. Always use a wide target.
Minervini trend template (price above long-term averages)	Tested and dropped - it merely re-measures what relative strength already captures. Redundant, not additive.
NSE delivery-% accumulation	Tested and dropped - high-delivery names actually continued slightly WORSE. Another strength proxy, no independent edge.
Buying the quiet pre-thrust dip (front-running Emerging)	No better than random - you're guessing ahead of the only signal that works. Wait for the actual volume thrust.

THE PATTERN BEHIND EVERY ACCEPTED VS REJECTED USE CASE

Everything that SURVIVED (persistence, Wyckoff structure, episodic pivot) measures a DIFFERENT axis - durability, structure, or a catalyst. Everything REJECTED (Minervini, delivery %) was just another proxy for strength the score already has. When you consider a new idea, ask: does it add a new axis, or re-measure strength? Only the former helps.

Putting it together - your daily routine

1. After the close, run ONE command: run_odin.py. It now chains the whole flow automatically - pulls new RIGHTWAY Telegram messages, scores the sheet, updates the paper ledger, and rebuilds the dashboard (with its P&L panel).
2. Open the dashboard and start from the top ~10 by score - use case 1. Glance at the CHANGES tab to see what's new or has moved since yesterday, and set your capital + risk-% in the top bar so every row shows the share size to buy.
3. Filter to your conviction: Persistent leaders (2), then look for a fresh SOS on them (3). Scan EP (4) for catalysts - remember the badge now only shows gaps that HELD. These are your primary trades. Star the ones you like (they collect in the WATCHLIST tab) and click 'TV' to confirm the chart.
4. Optionally add ONE speculative Emerging name (7) at smaller size.
5. Glance at RIGHTWAY confluence (8) only to confirm names you already like.
6. Check the dashboard's P&L panel to see how recent picks - and each lens - are actually doing (the paper ledger). Let it accumulate a few weeks before reading much into it.
7. Reject anything with a 0/20 strip or an 'ext' flag, however high the score.
8. For each keeper: confirm on the chart, set the printed stop BEFORE buying, use the wide target, and honour the ~2-week time stop on stalled trades.
9. Size so a run of small stop-outs is survivable - that string of small losers punctuated by a few big winners IS the strategy working, not failing.

THE WHOLE PLAYBOOK IN THREE SENTENCES

The SCORE (relative strength) gets a name onto the list; the LENSES (persistence, Wyckoff, EP, Emerging, RIGHTWAY) tell you which of the strong names is a buy, a wait, or a trap; the CHART is the final confirmation. Expected gain is positive but small per trade and comes from many trades with a tight stop - never from any single pick. Cut losers at the stop, let winners run to a wide target: that discipline is the edge.

Companion to Odins_Watchlist_Guide.docx. All figures from the project's own backtests: 2,554 watchlist stocks over 158 trading days (Jul 2025 - Jul 2026), price history over 528 unbroken days (Jul 2024 - Jul 2026). Directional, not guarantees; daily closes, before *costs; ~15% of picks are volatile BE/BZ names. Always use a stop-loss.*